

Uniform Residential Appraisal Report

123 FALLING TREE CT, TREEVILLE, VA 12345

SUMMARY

Opinion of Market Value	\$491,000	Market Value Condition	Subject to Repair
Final Value Condition Statement This appraisal is made subject to the itemized list of repairs recommended below on the basis of a hypothetical condition that the repairs or alterations have been completed in a professional manner. This might have affected the assignment results.			
Effective Date of Appraisal	09/20/2019	Property Valuation Method	Traditional Appraisal
Assignment Reason	Purchase	Appraiser Name	Agatha Appraiser
Borrower Name	Betty Borrower		
	Bob Borrower		
Current Owner of Public Record	Jane Doe		
Contract Price	\$489,000		
Listing Status	Pending		

Property Description			
Construction Method	Site Built	Overall Quality	Q4
Attachment Type	Detached	Overall Condition	C4
Planned Unit Development (PUD)	Yes ☒ No ☐	 This is where the Subject Property photo would display.	
Condominium	☐ ☒		
Cooperative	☐ ☒		
Condop	☐ ☒		
Subject Site Owned in Common	☐ ☒		
Units Excluding ADUs	1		
Accessory Dwelling Units	0		
Property Rights Appraised	Fee Simple		
Is the highest and best use of the subject property as improved (or as proposed per plans and specifications) the present use?	Yes ☒ No ☐		
Zoning Compliance	Legal		

Apparent Defects, Damages, Deficiencies Requiring Action

The items listed below represent the As Is condition as of the effective date of this report

Feature	Location	Description	Affects Soundness or Structural Integrity	Recommended Action	Estimated Cost to Repair
Dwelling Exterior					
Roof	Section of Roof	Roof is significantly worn and has damaged flashing, but no apparent active leaks.	Yes	Repair	\$1,500
Total Cost					\$1,500

As Is Overall Condition Rating C5

Existing condition of the property as of the effective date of this appraisal, excluding all required repairs, alterations, or inspections

Assignment Information

Assignment Reason	Purchase	Property Valuation Method	Traditional Appraisal
Borrower Name	Betty Borrower	Was a Property Data Report used in lieu of an Inspection?	Yes No
	Bob Borrower		☐ ☒
Seller Name	Jane Doe		
Current Owner of Public Record	Jane Doe		

Contact Information

Client/Lender	
Company Name	DEF Bank
Company Address	200 Elm St
	Anytown, VA 12346

Appraisal Management Company

Company Name	XYZ Appraisal Management Company
Company Address	300 Maple Ave
	Anytown, VA 12345

Appraiser		Credentials	
Name	Agatha Appraiser	Level	Certified Residential
Designation	SRA	ID	XYZ12345
Company Name	ABC Appraisal Co.	State	VA
Company Address	123 Main St	Expires	10/10/2020
	Anytown, VA 12345		

Scope of Inspection by Appraiser

Subject Property Inspection	
Exterior	Physical
Interior	Physical
Inspection Date	09/20/2019

Significant Real Property Appraisal Assistance

Name	Andrew Appraiser	Credentials	
		Level	None

Description Andrew Appraiser, a trainee appraiser, filled out the Market section, provided the Market Analysis, assisted in measuring property, and did an exterior inspection of the comparables from the street.

Subject Property

Physical Address	123 Falling Tree Ct	Attachment Type	Detached
	Treeville, VA 12345	Units Excluding ADUs	1
County	Arboreal	Accessory Dwelling Units	0
Neighborhood Name	Sunnyside	Special Tax Assessments	No
Planned Unit Development (PUD)	☒ ☐		
Condominium	☐ ☒		
Cooperative	☐ ☒		
Condop	☐ ☒		
Property on Native American Lands	☐ ☒		
Subject Site Owned in Common	☐ ☒		
Homeowner Responsible for all Exterior Maintenance of Dwelling(s)	☒ ☐		
New Construction	☐ ☒		

Ownership Rights

Property Rights Appraised	Fee Simple	All Rights Included in Appraisal	Yes
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Legal Description

Lot 53 Sunnyside Subdivision

Site			
Total Site Size		14,950 Sq. Ft.	
Assessor Parcel Number (APN)		APN Description	
1234-56-7891-000		Land with Dwelling	
Zoning		Property Access	
Compliance		Legal	
Classification Code		R10	
Classification Code Description		Residential - 10 Dwelling Units per Acre	
Property Use		None	
Number of Parcels		1	
Parcel Size		14,950 Sq. Ft.	
Primary Access		Public Street	
Street Type and Surface		Local Road Asphalt	
Typical for Market		Yes	

Site Influence				
Influence	Proximity	Detail	Impact	Comment
Residential	Bordering		Neutral	Typical residential subdivision

View and Impact to Value/Marketability		
View	Range of View	Impact
Residential	Full	Neutral

Site Features and Impact to Value/Marketability			
Feature	Detail	Impact	Comment
Hazard Zone	No Hazard Zone Noted		
Site Characteristic	Topography Rolling	Adverse	Steep grade is less marketable.

Utilities and Impact to Value/Marketability					
Broadband Internet Available		Yes			
	Public	Private	Detail	Private Utility Impact	Comment
Electricity	✓				
Gas	✓				
Sanitary Sewer	✓				
Water	✓				

Apparent Defects, Damages, Deficiencies (Site)
None

Site Exhibits

Property Access (Street Scene)



This is where the Property Access photo would display.

Energy Efficient and Green Features

Known Renewable Energy Components	None
Known Building Certifications	None

Green/Energy Efficiency Rating Organization	Rating	Score
RESNET	HERS	62

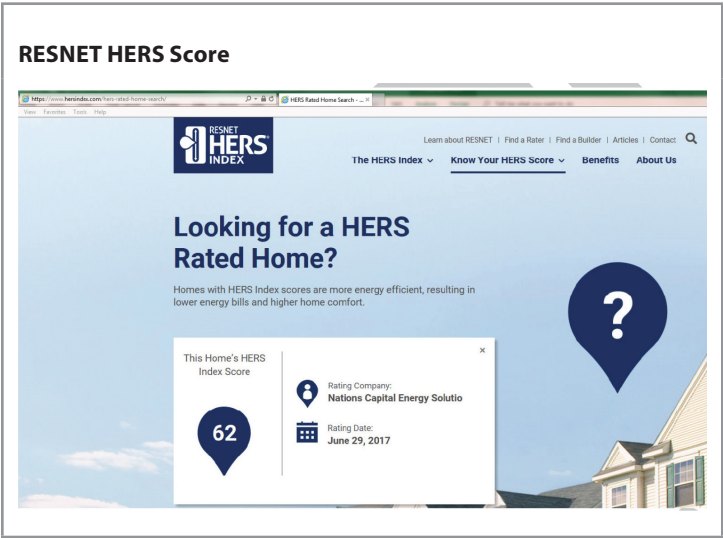
Energy Efficient and Green Features Impact to Value/Marketability

Impact to Value/Marketability	Neutral
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Energy Efficient and Green Features Commentary

On average, homes with a HERS Index rating of 62 are 38% more energy efficient than a standard new house.

Energy Efficient and Green Features Exhibits



Sketch

Measurement Standard

ANSI

Sketch



This is where the Sketch image would display.

Dwelling Exterior

Subject Property Units in	
Structure	1
Dwelling Style	Colonial
Front Door Elevation	3-4 Ft.
Year Built	2004
Construction Method	Site Built
Converted Area	None



This is where the Subject Property photo would display.

Dwelling Exterior (continued)

Quality and Condition

Exterior Quality Rating	Q4	Exterior Condition Rating	C4
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The table below supports the Exterior Quality and Condition ratings and reflects the market value condition of this report

Feature	Detail	Quality Comment	Condition Status	Condition Comment
Exterior Walls and Trim	Vinyl		Typical Wear and Tear	Minor cracks to vinyl typical for age.
Foundation	Poured Concrete Basement		Typical Wear and Tear	
Roof	Composition Estimated Age: 10-20 years		Typical Wear and Tear	Reported condition is subject to repair; see defects table and commentary below.
Windows	Vinyl Double Hung - Thermal Pane	Double Thermal Pane contributes to Energy Efficiency.	Typical Wear and Tear	Windows same age as house.

Mechanical System Details

	System	Detail		Yes	No
Heating	Forced Warm Air	Natural Gas	Core Heating System Below Grade	☒	☐
Cooling	Centralized		Other Mechanical Systems		
			Sump Pump		
			Water Heater		

Apparent Defects, Damages, Deficiencies (Dwelling Exterior)

The items listed below represent the As Is condition as of the effective date of this report

Feature	Location	Description	Affects Soundness or Structural Integrity	Recommended Action
Roof	Section of Roof	Roof is significantly worn and has damaged flashing, but no apparent active leaks.	Yes	Repair

Dwelling Exterior Commentary

Condition Status is reflective of noted repair having been completed.

Dwelling Exterior Exhibits

Dwelling Front  This is where the Dwelling Front photo would display.	Dwelling Rear  This is where the Dwelling Rear photo would display.
Apparent Defects, Damages, Deficiencies - Roof - Damaged Flashing  This is where the Roof Defect photo would display.	

Unit Interior		
Area Breakdown		
Finished Above Grade	3,002 Sq. Ft.	
Unfinished Above Grade	0 Sq. Ft.	
Finished Below Grade	1,300 Sq. Ft.	
Unfinished Below Grade	230 Sq. Ft.	
Area Data Source	Physical Measurement	
Below Grade Finish Compared to Above	Similar	
Levels in Unit		3
Occupancy		Owner
Total Bedrooms		5
Total Bathrooms - Full		3
Total Bathrooms - Half		1

Level and Room Detail				
Level in Unit	Grade Level Detail	Finish	Area	Room Summary
Level B1	Partially Below Grade Interior and Exterior Access Walk Out	Finished	1,300 Sq. Ft.	1 - Bath - Half 1 - Media Room 1 - Recreation Room 1 - Wet Bar
		Unfinished	230 Sq. Ft.	
Level 1	Above Grade	Finished	1,470 Sq. Ft.	1 - Bath - Full 1 - Bedroom 1 - Dining Room 1 - Family Room 1 - Kitchen 1 - Office
Level 2	Above Grade	Finished	1,532 Sq. Ft.	2 - Bath - Full 4 - Bedroom 1 - Laundry Room

Quality and Condition			
Interior Quality Rating		Q4	Interior Condition Rating
			C4
The tables below support the Interior Quality and Condition ratings and reflect the market value condition of this report			

Kitchen and Bathroom Details					
Room	Update Status	Time Frame	Quality Comment	Condition Status	Condition Comment
Kitchen Level 1	Not Updated		Corian Countertops, Double Oven, Hardwood floors.	Typical Wear and Tear	
Bath - Full Level 2	Not Updated		Double Sink with separate shower and extra-large tub, ceramic flooring.	Typical Wear and Tear	
Bath - Full Level 1	Not Updated		Ceramic flooring.	Typical Wear and Tear	
Bath - Full Level 2	Not Updated		Ceramic flooring.	Typical Wear and Tear	
Bath - Half Level B1	Fully Updated	5–10 years	Ceramic flooring.	Typical Wear and Tear	Half bath newer than rest of house.

Overall Update Status for Bathrooms	
Moderately Updated	

Interior Features				
Feature	Detail	Quality Comment	Condition Status	Condition Comment
Flooring	Carpet	Throughout all bedrooms and living areas.	Damaged and Functional	Original carpet, stained in one corner in the Dining Room.
	Ceramic Tile	All baths.	Typical Wear and Tear	
	Engineered Wood	Throughout finished below grade area.	Typical Wear and Tear	
	Hardwood	Kitchen and Hallways.	Typical Wear and Tear	
Walls and Ceiling	8 Ft. 9 Ft. 10 or more feet 2 or more stories Cathedral Coffered Flat	Cathedral ceiling in bedroom, 2 story family room, coffered ceiling in media room. 9 foot ceiling in 1st level.	Typical Wear and Tear	

Overall Update Status for Flooring	
Not Updated	

Accessibility Features for Individuals with Disabilities	
Feature	Comment
Shower	The shower has been modified.

Unit Interior (continued)

Apparent Defects, Damages, Deficiencies (Unit Interior)

The items listed below represent the As Is condition as of the effective date of this report

Feature	Location	Description	Affects Soundness or Structural Integrity	Recommended Action
Flooring	Dining Room	Carpet is stained in one corner of the Dining Room.	No	None

Unit Interior Commentary

The below grade area has a custom finished wet bar including wood cabinets and countertops. Media room has custom cabinetry for speakers and media devices.

Unit Interior Exhibits

Level B1 - Bath - Half  This is where the Half Bathroom photo would display.	Level B1 - Media Room  This is where the Media Room photo would display.
Level B1 - Recreation Room  This is where the Recreation Room photo would display.	Level B1 - Wet Bar  This is where the Wet Bar photo would display.
Level 1 - Bath - Full - Bath 3  This is where the Full Bath photo would display.	Level 1 - Family Room  This is where the Family Room photo would display.

Unit Interior (continued)

Level 1 - Kitchen



This is where the Kitchen photo would display.

Level 2 - Bath - Full - Bath 1



This is where the Full Bath photo would display.

Level 2 - Bath - Full - Bath 2



This is where the Full Bath photo would display.

Apparent Defects, Damages, Deficiencies - Flooring - Damaged Flooring



This is where the Damaged Flooring photo would display.

Functional Obsolescence

Functional Issues

None

Vehicle Storage

Storage	Number of Parking Spaces	Detail
Driveway	2	Asphalt
Garage	2	Built-in 460 Sq. Ft.

Apparent Defects, Damages, Deficiencies (Vehicle Storage)

None

Vehicle Storage Exhibits

Driveway - Garage



This is where the Driveway - Garage photo would display.

Subject Property Amenities

Amenity Category	Subject Property Amenity	Material	Detail
Outdoor Accessories	Fence		
Outdoor Living	Deck	Wood	400 Sq. Ft.
	Porch	Concrete	351 Sq. Ft.
Whole Home	Indoor Fireplace		Total Number - 1
Miscellaneous	Media Room		
	Wet Bar		

Apparent Defects, Damages, Deficiencies (Subject Property Amenities)

None

Subject Property Amenities Exhibits

Media Room



This is where the Media Room photo would display.

Overall Quality and Condition

Overall Quality	Q4	Overall Condition	C4
Exterior Quality	Q4	Exterior Condition	C4
Interior Quality	Q4	Interior Condition	C4

Reconciliation of Overall Quality and Condition

The Overall Quality and Condition matches the Interior Quality and Condition, as well as the Exterior Quality and Condition, since the exterior and interior are both of the same age.

Highest and Best Use

Is the present use of the subject property ...

Legally Permissible	Yes	Financially Feasible	Yes
Physically Possible	Yes	Maximally Productive	Yes

Is the highest and best use of the subject property as improved (or as proposed per plans and specifications) the present use?

Yes No

☒ ☐

Highest and Best Use Commentary

The highest and best use analysis as improved is physically possible and legally permissible based on its current zoning. Analysis of the market shown below demonstrates that the existing structure as a single family residence is its financially feasible and maximally productive use.

Market

Market Area Boundary North: E. Grant Highway, South: E. Temple Ave., East: Chicken Rd., West: 10 Main Ave.

Search Criteria Description Search Criteria limited by Detached units with a lot size of up to .6 acres and a Finished Area Above Grade between 2700 and 3300 sq. ft. Additional factors include between 2-4 full bathrooms, 3-5 bedrooms, a basement and a 2 car garage. Searched between closing dates of 9/30/2017 and 9/30/2019.

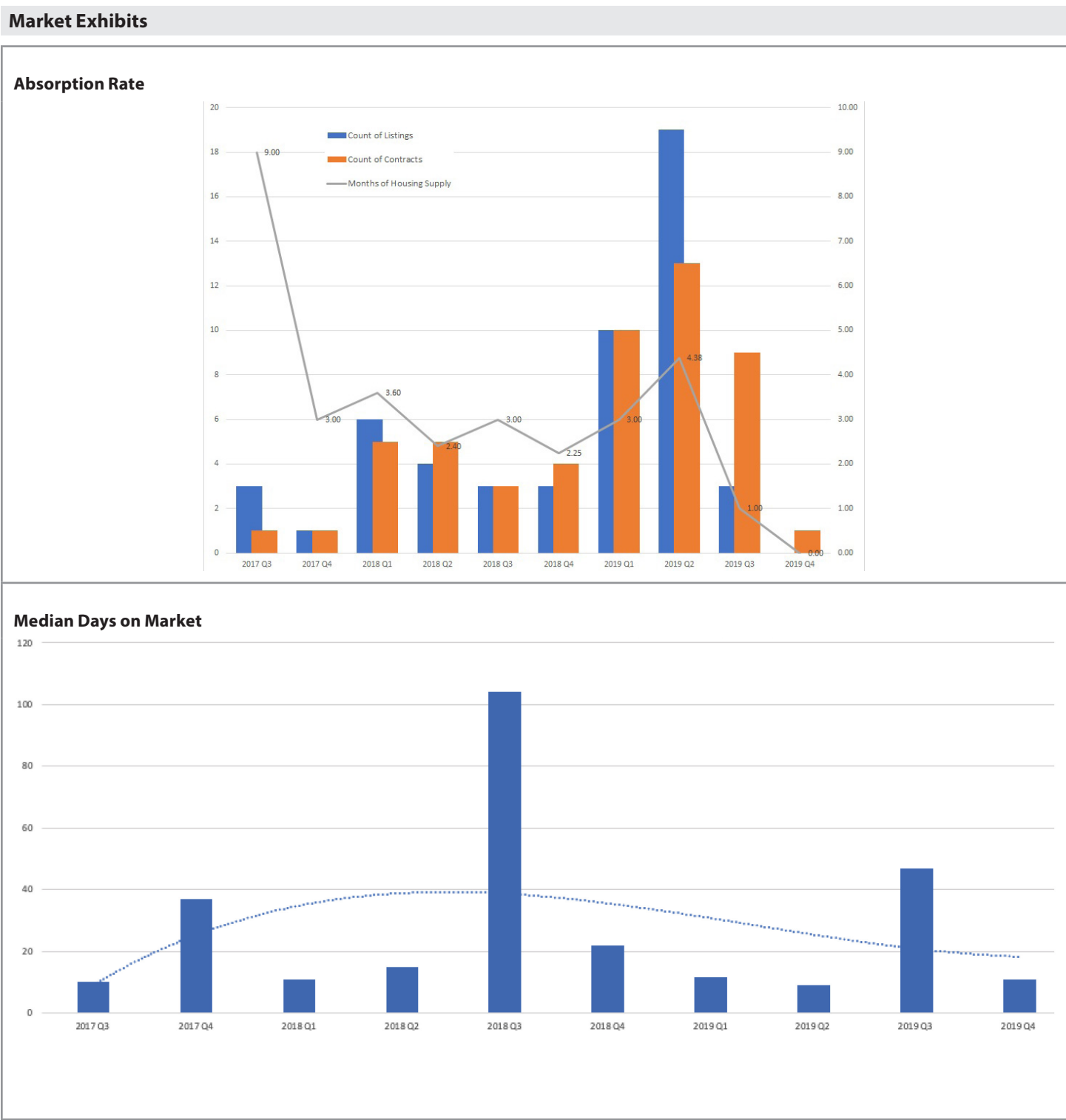
Market (continued)

Search Result Metrics			
Active Listings		2	
Median Days on Market		11	
Lowest List Price		\$435,000	
Median List Price		\$440,000	
Highest List Price		\$445,000	
Pending Sales		1	
Sales in Past 24 Months		35	
Lowest Sale Price		\$400,000	
Median Sale Price		\$499,000	
Highest Sale Price		\$597,000	
Distressed Market Competition		No	
Graph		Absorption Rate	
		Median Days on Market	
		Price Trend	
		Year Built of Sales	
Price Trend Source		MLS	

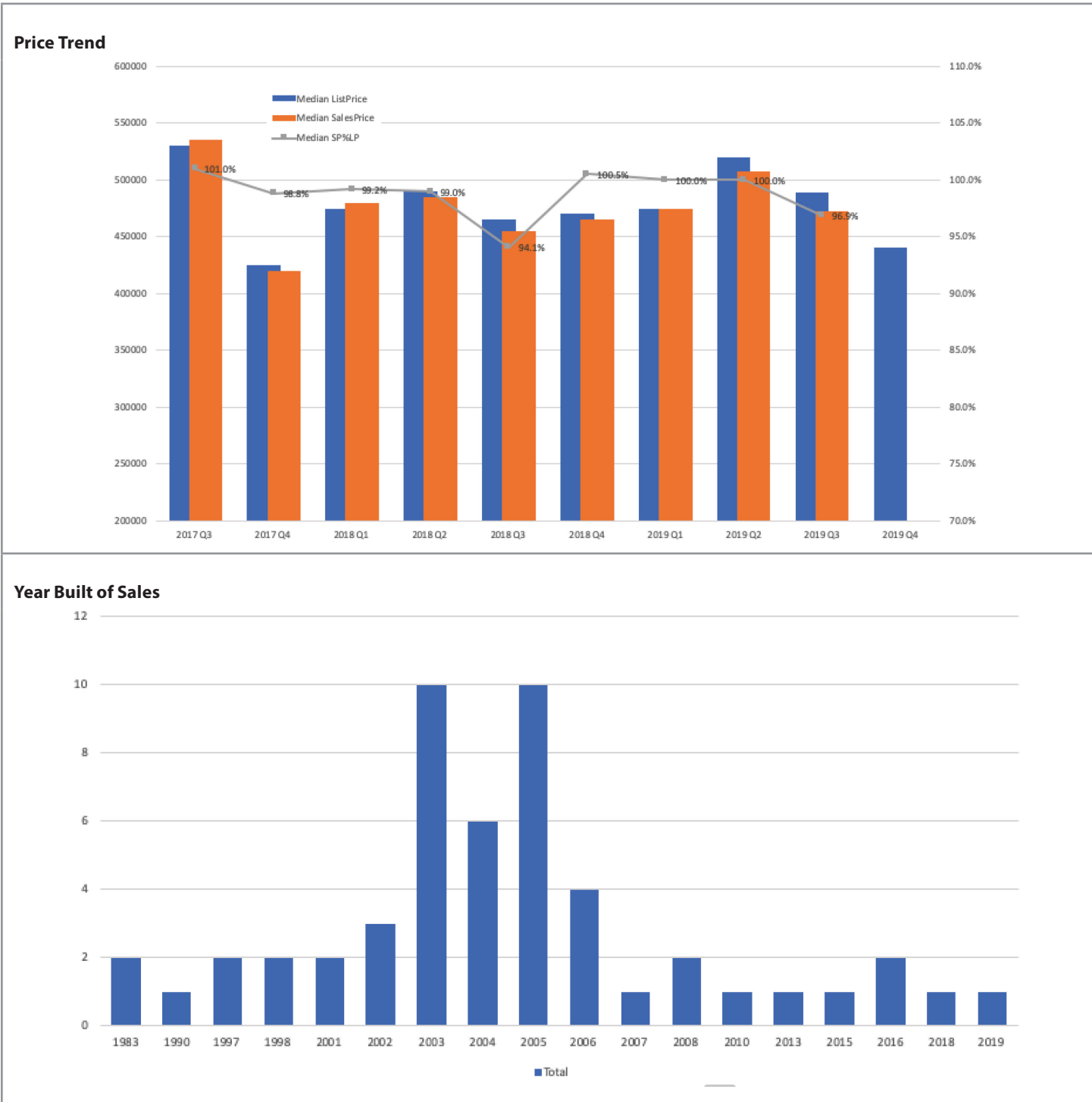
Housing Trends			
Demand/Supply		Shortage	
Marketing Time		Under 3 months	

Market Commentary

Despite lack of supply, homes are not going up in value due to seasonality. This is typical for 3rd quarter, evidenced by the fact that there are only 2 active listings, which have less finished area than the subject and not indicative of prices decreasing.



Market (continued)



Project Information

Planned Unit Development (PUD) ☒Condominium ☐Cooperative ☐Condom ☐

Project Information Data Source	Real Estate Agent
Mandatory Fees (HOA, PUD, or Co-op)	
Monthly Amount	\$34
Common Amenities/	
Services Included	Trash Removal
Utilities Included	None

Project Factors and Impact to Value/Marketability			
Project Factor	Detail	Impact	Comment
Developer/Sponsor in Control	No		
Known Legal Actions	None		
Unit Special Assessments	None		
Unit Tax Abatements or Exemptions	None		

Subject Listing Information							
Current and/or relevant listings of the subject property (minimum 1 year look back)							
Listing Status	Listing Type	Listing ID	Start Date	End Date	DOM	Starting List Price	Current or Final List Price
Pending	MLS	FQ999999	09/05/2019	09/17/2019	13	\$489,000	\$489,000
Total DOM					13		

Analysis of Subject Property Listing History The only listing of the subject property in the past year has been for \$489,000 for 13 days prior to contract. The contract provided to the appraiser contains no atypical terms or conditions, see Sales Contract section for further analysis.

Sales Contract			
	Yes	No	
Is there a sales contract?	☒	☐	Contract Price
Was sales contract information analyzed?	☒	☐	Contract Date
Does this appear to be an arm's length transaction?	☒	☐	Transfer Terms
			Personal Property Conveyed
			Yes
Personal property is not included in the appraiser's final opinion of value			

Financial Sales Concessions		Financial assistance paid by or on behalf of the seller as an inducement to purchase the subject property
Known Sales Concessions	Yes	
Total Sales Concessions	\$5,000	
Typical for Market	Yes	

Sales Contract Analysis

\$5,000 concession towards repair of the carpet. Window treatments, washer and dryer, and media room projector conveyed per sales contract.

Prior Sale and Transfer History

Subject Transfer History	
Prior sales and/or transfers of the subject property (minimum 3 year look back)	
Prior Sales or Transfers	None
Data Source	MLS

Analysis of Prior Sale and Transfer History of Subject Property Only prior sale of the subject was when it was a new construction in 2004.

Comparable Transfer History				
Prior sales and/or transfers of the comparable properties from the 'Sales Comparison Approach' section (minimum 1 year look back)				
#	Transfer Terms	Date	Amount	Data Source
1	Typically Motivated	09/01/2018	\$430,000	MLS
2	None			MLS
3	None			MLS

Analysis of Prior Sale and Transfer History of Comparable Sales Prior sale of comp 1 was a typically motivated arms-length transaction.

Sales Comparison Approach

Subject Property		Comparable #1		Comparable #2		Comparable #3	
General Information							
Property Address	123 Falling Tree Ct Treeville, VA 12345	241 Rapid Creek Ln Treeville, VA 12345		188 Fallen Oak Ct Treeville, VA 12345		210 Cannon Ball Rd Treeville, VA 12345	
	 <i>This is where the Subject Property photo would display.</i>	 <i>This is where the Comparable 1 photo would display.</i>		 <i>This is where the Comparable 2 photo would display.</i>		 <i>This is where the Comparable 3 photo would display.</i>	
Data Source		Assessor Record Exterior Inspection MLS 123456		Assessor Record Exterior Inspection MLS 33A245		Assessor Record Exterior Inspection MLS 678A12	
Proximity to Subject		0.17 Miles N		0.06 Miles N		0.4 Miles NE	
List Price	\$489,000	\$460,000		\$449,900		\$525,000	
Listing Status	Pending	Settled Sale		Settled Sale		Settled Sale	
Contract Price	\$489,000	—		—		—	
Sale Price		\$460,000		\$450,000		\$520,000	
Transfer Terms		Typically Motivated	\$0	Typically Motivated	\$0	Typically Motivated	\$0
Sales Concessions	\$5,000	\$8,500	\$0	\$11,000	\$0	\$10,400	\$0
Contract Date	09/17/2019	07/22/2019	\$0	08/05/2019	\$0	07/02/2019	\$0
Sale Date		08/17/2019	\$0	09/10/2019	\$0	08/31/2019	\$0
Days on Market	13	12		6		14	
Attached/Detached	Detached	Detached		Detached		Detached	
Property Rights Appraised	Fee Simple	Fee Simple		Fee Simple		Fee Simple	

Site							
Site Size	14,950 Sq. Ft.	17,886 Sq. Ft.	\$0	13,038 Sq. Ft.	\$0	16,039 Sq. Ft.	\$0
Neighborhood Name	Sunnyside	Sunnyside		Sunnyside		Hilldale	\$0
Topography	Rolling	Rolling		Rolling		Flat	\$(2,000)
Site Influence (Location)	Residential	Residential		Busy Roadway	\$5,000	Residential	
View Range	Residential Full	Residential Full		Residential Full		Residential Full	

Dwelling(s)							
Year Built	2004	2004		2004		2001	\$0
Construction Method	Site Built	Site Built		Site Built		Site Built	
Dwelling Style	Colonial	Colonial		Colonial		Colonial	
Heating	Forced Warm Air Natural Gas	Forced Warm Air Natural Gas		Forced Warm Air Natural Gas		Forced Warm Air Natural Gas	
Cooling	Centralized	Centralized		Centralized		Centralized	

Energy Efficient and Green Features			\$0		\$0		\$0
Efficiency Rating	HERS 62		None		HERS 61		None

Unit(s)							
Bedrooms	5	4	\$10,000	4	\$10,000	4	\$10,000
Baths - Full Half	3 1	2 1	\$10,000	2 2	\$5,000	3 1	
Finished Area Above Grade	3,002 Sq. Ft.	3,260 Sq. Ft.	\$(10,300)	2,804 Sq. Ft.	\$7,900	2,816 Sq. Ft.	\$7,400
Finished Area Below Grade	1,300 Sq. Ft.	0 Sq. Ft.	\$26,000	1,200 Sq. Ft.	\$2,000	1,328 Sq. Ft.	\$0
Unfinished Area Below Grade	230 Sq. Ft.	1,624 Sq. Ft.	\$(13,940)	66 Sq. Ft.	\$1,640	148 Sq. Ft.	\$0
Below Grade Exterior Access	Walk Out	Walk Up	\$2,000	Walk Up	\$2,000	Walk Out	

Quality and Condition (Ratings: 1-6, 1 is highest)				
Exterior Quality and Condition				
Quality	Q4	Q4	Q4	Q4
Exterior Walls and Trim	Vinyl	Vinyl	Vinyl	Vinyl
Roof	Composition	Composition	Composition	Composition
Condition	C4	C4	C4	C4
Interior Quality and Condition				
Quality	Q4	Q4	Q4	Q4
Condition	C4	C4	C4	C4
Kitchen	Not Updated	Partially Updated	Not Updated	Not Updated
Overall Flooring	Not Updated	Not Updated	Not Updated	Not Updated

Sales Comparison Approach (continued)

Subject Property		Comparable #1		Comparable #2		Comparable #3	
Property Address	123 Falling Tree Ct Treeville, VA 12345	241 Rapid Creek Ln Treeville, VA 12345		188 Fallen Oak Ct Treeville, VA 12345		210 Cannon Ball Rd Treeville, VA 12345	
Overall Quality and Condition (Ratings: 1-6, 1 is highest)							
Quality	Q4	Q4		Q4		Q4	
Condition	C4	C4	\$(5,000)	C4	\$(1,000)	C4	\$(1,000)

Property Amenities							
Outdoor Living	Deck Porch	Deck Patio	\$6,000	Patio Porch	\$2,000	Deck Patio	\$6,000
Water Features	—	—		—		Inground Pool	\$(12,000)
Miscellaneous	Media Room Wet Bar	—	\$6,000	—	\$6,000	—	\$6,000

Vehicle Storage							
Type Spaces Detail	Driveway 2 Asphalt Garage 2 Built-in 460 Sq. Ft.	Driveway 2 Asphalt Garage 2 Built-in		Driveway 2 Asphalt Garage 2 Built-in		Driveway 2 Asphalt Garage 2 Built-in	

Summary				
List Price	\$489,000	\$460,000	\$449,900	\$525,000
Contract Price	\$489,000	—	—	—
Sale Price		\$460,000	\$450,000	\$520,000
Net Adjustment Total		\$30,760	\$40,540	\$14,400
Price Per Finished Area Above Grade		\$141	\$160	\$185
Adjusted Price		\$490,760	\$490,540	\$534,400
Comparable Weight		Most	Most	Less
Indicated Value by Sales Comparison Approach				
Indicated Value	\$491,000			

Reconciliation of Sales Comparison Approach

Comps 1 and 2 were from the same neighborhood as the Subject. Comp 3 not given as much weight because of different subdivision. Condition Rating adjustments were made to all comps due to the subject’s flooring having stained carpets and no updates. Comp 1 also had a partially updated kitchen which was accounted for in the Condition Rating adjustment. Sales with property characteristics of 5 bedrooms, media room and wet bar were in the competitive market area, exhibited in #4 and 5 of the Additional Properties Analyzed Not Used, but were not as comparable since they were larger, farther away, and superior quality.

Additional Properties Analyzed Not Used					
#	Property Address	Sale Date	Status	Reason Not Used	Comment
1	101 Somewhere Ln Treeville, VA 12345	—	Active	Proximity Quality	Inferior quality and non-similar location
2	955 Black Swan Rd Treeville, VA 12345	—	Pending	Proximity Quality	Superior quality and located further from subject
3	325 Summit Ct Treeville, VA 12345	08/21/2019	Settled Sale	Proximity	Located further from subject
4	7464 Blank Ln Treeville, VA 12345	06/02/2019	Settled Sale	Finished Area Proximity	Had 5 bedrooms, but because it was larger and farther away, it was not used.
5	8718 Mover Ln Treeville, VA 12345	07/13/2019	Settled Sale	Finished Area Quality	Property has a media room and wet bar, but is larger and of superior quality.

Sales Comparison Approach (continued)

Sales Comparison Map



Sales Comparison Approach (continued)

Sales Comparison Approach Exhibits

Comparable #1



This is where the Comparable 1 photo would display.

Comparable #2



This is where the Comparable 2 photo would display.

Comparable #3



This is where the Comparable 3 photo would display.

Reconciliation

Approaches to Value

	Sales Comparison Approach	Income Approach	Cost Approach
Indicated Value	\$491,000		
Reason for Exclusion		Not Necessary for Credible Results	Not Necessary for Credible Results

Appraisal Summary

Contract Price	\$489,000	Reasonable Exposure Time	0–90 days
Opinion of Market Value	\$491,000	Effective Date of Appraisal	09/20/2019
Market Value Condition	Subject to Repair		

Final Value Condition Statement This appraisal is made subject to the itemized list of repairs recommended below on the basis of a hypothetical condition that the repairs or alterations have been completed in a professional manner. This might have affected the assignment results.

Reconciliation of Market Value

Utilize this subsection for additional commentary as required by USPAP.

Reconciliation (continued)

Apparent Defects, Damages, Deficiencies

The items listed below represent the As Is condition as of the effective date of this report

Feature	Location	Description	Affects Soundness or Structural Integrity	Recommended Action	Estimated Cost to Repair
Dwelling Exterior					
Roof	Section of Roof	Roof is significantly worn and has damaged flashing, but no apparent active leaks.	Yes	Repair	\$1,500
Unit Interior					
Flooring	Dining Room	Carpet is stained in one corner of the Dining Room.	No	None	
				Total Cost	\$1,500

As Is Overall Condition Rating

C5

Existing condition of the property as of the effective date of this appraisal, excluding all required repairs, alterations, or inspections

This appraisal report is subject to the following scope of work, intended use, intended user, definition of market value, statement of assumptions and limiting conditions, and certifications. Modifications, additions, or deletions to the definition of market value or assumptions and limiting conditions are not permitted. The appraiser may expand the scope of work to include any additional research or analysis necessary based on the complexity of this appraisal assignment. Modifications or deletions to Intended Use, Intended User, and the certifications are also not permitted. However, additional Intended Use, Intended User, and certifications that do not constitute material alterations to this appraisal report, such as those required by law or those related to the appraiser’s continuing education or membership in an appraisal organization, are permitted.

Scope of Work

The scope of work for this assignment is based on the applicable assignment elements, including: the client and any other intended users, the intended use, the definition of market value that follows, the effective date, the subject property and its relevant characteristics, and the applicable assignment conditions. The appraiser must, at a minimum: (1) obtain and review adequate and reliable information for the subject property; (2) research, verify, and analyze adequate and reliable data for the subject market area including data for each comparable property reported; and (3) report his or her analyses, opinions, and conclusions in this appraisal report.

Intended Use

The intended use of the opinions and conclusions contained in this appraisal report is for the intended user to evaluate the property that is the subject of this appraisal for a mortgage finance transaction or related activities.

Intended User

The intended user of this report is the lender/client.

Definition of Market Value

The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale with the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby: (1) buyer and seller are typically motivated; (2) both parties are well informed or well advised, and each acting in what he or she considers his or her own best interest; (3) a reasonable time is allowed for exposure in the open market; (4) payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and (5) the price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions* granted by anyone associated with the sale.

*Adjustments to the comparables must be made for special or creative financing or sales concessions. No adjustments are necessary for costs that are normally paid by sellers as a result of tradition or law in a market area; these costs are readily identifiable because the seller pays these costs in virtually all sales transactions. Special or creative financing adjustments can be made to the comparable property by comparisons to financing terms offered by a third-party institutional lender that is not already involved in the property or transaction. Any adjustment should not be calculated on a mechanical dollar-for-dollar cost of the financing or concession, but the dollar amount of any adjustment should approximate the market’s reaction to the financing or concessions based on the appraiser’s judgment.

Statement of Assumptions and Limiting Conditions

The appraiser assumes that the title is good and marketable unless he or she becomes aware of information to the contrary.

If the appraiser has included a sketch or floor plan in this appraisal report, it shows the approximate dimensions and is included only to assist the reader in visualizing the property and understanding the appraiser’s determination of its size.

The appraiser has relied on data provided by third parties in this appraisal report. Such data may include, but is not limited to, floor plans, flood maps, multiple listing real estate services, tax assessment records, public land records, satellite imagery, virtual street views, property data services, surveys, engineering reports, and property data aggregations. After examination of the data and data sources, the appraiser has used only the data he or she considers reliable. The appraiser assumes there are no material omissions in the data relied upon and makes no guarantees, express or implied, regarding their accuracy. If the source date is prior to the effective date of the appraisal, the appraiser assumes the property characteristics and supporting information have not changed in the interim.

The appraiser will not be required to give testimony or appear in court because he or she made an appraisal of the property in question, unless specific arrangements to do so have been made beforehand, or as otherwise required by law.

The appraiser has noted in this appraisal report any adverse conditions (such as needed repairs, deterioration, the presence of hazardous wastes, toxic substances, etc.) that the appraiser became aware of during the development of this appraisal. Unless otherwise stated in this appraisal report, the appraiser has no knowledge of any hidden or unapparent physical deficiencies or adverse conditions of the property (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that would make the property less valuable, and assumes that there are no such conditions and makes no guarantees or warranties, express or implied. The appraiser will not be responsible for any such conditions that do exist or for any engineering or testing that might be required to discover whether such conditions exist. Because the appraiser is not an expert in the field of environmental hazards, this appraisal report must not be considered as an environmental assessment of the property.

Certifications

Appraiser Certifications

The Appraiser certifies and agrees that:

1. I have no present or prospective interest in the property that is the subject of this report, or relationship with the present or prospective owners or occupants of the subject property, or other parties involved in this transaction.
2. I performed this assignment without bias with respect to the parties involved in this transaction, the property that is the subject of this report, or the demographics of the area where the property is located.
3. I am aware of and have complied with all applicable laws and regulations including antidiscrimination laws, rules, and requirements that apply to the appraiser and to the assignment.
4. I did not base any part of my appraisal on the actual or perceived race, color, religion, sex (including sexual orientation or gender identity), age (other than as applicable for legally age-restricted communities), marital status, disability, familial status, or national origin of the present or prospective owners or occupants of either the subject property or properties in the area of the subject property or on any other basis prohibited by the Fair Housing Act or the Equal Credit Opportunity Act, or any other basis prohibited by law.
5. I stated in this appraisal report my own personal, unbiased, and professional analyses, opinions, and conclusions, which are subject only to the assumptions and limiting conditions in this appraisal report.
6. I have, at a minimum, developed and reported this appraisal in accordance with the scope of work requirements stated in this appraisal report.
7. I meet the credential requirements for this assignment as of the date of this appraisal report and have knowledge and experience in appraising this type of property in this market area.
8. I am aware of, and have access to, the necessary and appropriate public and private data sources, such as multiple listing services, tax assessment records, public land records, and other such data sources for the area in which the property is located.
9. I obtained the information, estimates, and opinions furnished by other parties and expressed in this appraisal report from reliable sources that I believe to be true and correct.
10. I personally performed an onsite inspection of the interior and exterior areas of the subject property. I reported the readily observable condition of the improvements in factual, specific terms. I identified and reported any known physical deficiencies that could affect the soundness or structural integrity of the property.
11. I performed this appraisal in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were adopted and promulgated by the Appraisal Standards Board of The Appraisal Foundation and that were in place at the time this appraisal report was transmitted.
12. Using information available in the normal course of business, I researched, verified, analyzed, and reported on any current agreement for sale for the subject property, any offering for sale of the subject property in the twelve months prior to the effective date of this appraisal, and the prior sales of the subject property for a minimum of three years prior to the effective date of this appraisal.
13. Using information available in the normal course of business, I researched, verified, analyzed, and reported on the prior sales of the comparable sales for a minimum of one year prior to the date of sale of the comparable sale.
14. I based my valuation on the available properties that are most similar to the subject property.
15. I have not used comparable sales that were the result of combining a land sale with the contract purchase price of a home that has been built or will be built on the land.
16. I have identified the differences between the subject and comparable properties, analyzed the market reaction to those differences, and reflected those differences in the analysis.
17. To the extent possible, I verified, from a disinterested source, all information in this report that was provided by parties who have a financial interest in the sale or financing of the subject property.
18. I have taken into consideration the factors that have an impact on value with respect to the subject property, and its location, including its proximity to adverse influences in the development of my opinion of market value. I have noted in this appraisal report any adverse conditions (such as, but not limited to, needed repairs, deterioration, the presence of hazardous wastes, toxic substances, adverse environmental conditions, etc.) that I became aware of during the development of this appraisal. I have considered these adverse conditions in my analysis of the property value and have reported on the effect of the conditions on the value and marketability of the subject property.
19. I have not knowingly withheld any significant information from this appraisal report and, to the best of my knowledge, all statements and information in this appraisal report are true and correct.
20. My employment and/or compensation for performing this appraisal or any future or anticipated appraisals was not conditioned on any agreement or understanding, written or otherwise, that I would report (or present analyses supporting) a predetermined specific value, a predetermined minimum value, a range or direction in value, a value that favors the cause of any party, or the attainment of a specific result or occurrence of a specific subsequent event (such as approval of a pending mortgage loan application).
21. I personally prepared conclusions and opinions about the real estate that were set forth in this appraisal report. Andrew Appraiser provided significant real property appraisal assistance in the development of this report. I certify that any individual so named is qualified to perform the assistance.

Certifications (continued)

22. I have not authorized anyone to make a change to any item in this appraisal report; therefore, any change made to this appraisal is unauthorized and I will take no responsibility for it.
23. I identified the lender/client in this appraisal report who is the individual, organization, or agent for the organization that ordered and will receive this appraisal report.
24. I am aware that any disclosure or distribution of this appraisal report or any of its contents by me or by the lender/client may be subject to certain laws and regulations. Further, I am also subject to the provisions of the Uniform Standards of Professional Appraisal Practice that pertain to disclosure or distribution by me.
25. The lender/client may disclose or distribute this appraisal report to: the borrower; another lender at the request of the borrower; the mortgagee or its successors and assigns; mortgage insurers; government sponsored enterprises; other secondary market participants; data collection or reporting services; professional appraisal organizations; any department, agency, or instrumentality of the United States; and any state, the District of Columbia, or other jurisdictions. Any of the foregoing persons or entities who receive this appraisal report may choose to store, copy, reproduce, analyze, use and distribute the data in the appraisal report for internal or external purposes without having to obtain the appraiser's or supervisory appraiser's (if applicable) consent. Consent must be obtained before this appraisal report may be disclosed or distributed to any other party (including, but not limited to, the public through advertising, public relations, news, sales, or other media). A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.
26. The borrower, another lender at the request of the borrower, the mortgagee or its successors and assigns, mortgage insurers, government sponsored enterprises, and other secondary market participants may choose to rely on this appraisal report as part of any mortgage finance transaction that involves any one or more of these parties. A person or entity who receives a copy of an appraisal report does not become an intended user, unless the appraiser identifies such person as an intended user. The appraiser and supervisory appraiser (if applicable) shall have no liability for any use of this appraisal report not related to the mortgage finance transaction and related activities for which this appraisal report was prepared.
27. If this report was transmitted as an "electronic record" containing my "electronic signature," as those terms are defined in applicable federal and/or state laws (excluding audio and video recordings), or a facsimile transmission of this report containing a copy or representation of my signature, I agree that my electronic signature has the same force and effect as my manual handwritten signature, and that the report is enforceable and valid as a paper version of this report would be if delivered containing my manual handwritten signature.
28. Any intentional or negligent misrepresentation(s) contained in this appraisal report may result in civil liability and/or criminal penalties including, but not limited to, fine or imprisonment or both under the provisions of Title 18, United States Code, Section 1001, et seq., or similar state laws.
29. I have not performed any service regarding the subject property within the three years preceding the agreement to perform this assignment.

Signature	
Appraiser	Level
<i>Agatha Appraiser</i>	Certified Residential
09/20/2019	ID
Agatha Appraiser	XYZ12345
Date of Signature and Report	State
	VA
	Expires
	10/10/2020